Managerial Economics and Financial Accounting (MEFA)

LECTURE-22

Features and Evaluation of sole trader/ Proprietorship?

What is Sole Proprietorship?

A Sole proprietorship is a business, owned, controlled and managed by a single individual. The owner has complete control over all aspects of the business and retains all profits. However, they also bear full responsibility for the business's liabilities and debts.



Features of Sole Proprietorship

The main features of a Sole Proprietorship are as follows:

- **Legal Formalities** – No legal formalities are required to either commence or to shut down a sole proprietorship. But the owner must have a special license or certificate to run the business for specific occupations. For example, a sole proprietor planning to start a pharmacy must have a pharmacist's degree.

- **Unlimited Liability** – The sole proprietor is liable for the success or failure of their financial transactions. In case the proprietor takes a loan and fails to repay it, the creditors can attach the business owner's property to recover the loans.
- **Risk and reward** – A sole proprietor has complete ownership over the profits or losses from their firm's operations.
- **Control** – The rights and responsibilities of a sole proprietorship lies solely with its owner. No other person can interfere in the business activities of a sole proprietor without prior permission.
- **Continuity of business** – The existence of a business is related to its owner. Events like death, insolvency, imprisonment, terminal illness, etc., of the sole proprietor can adversely affect the business or force it to shut down permanently.

EVALUATION OF S0LE TRADER: -

Advantages and disadvantages of Sole Proprietorship

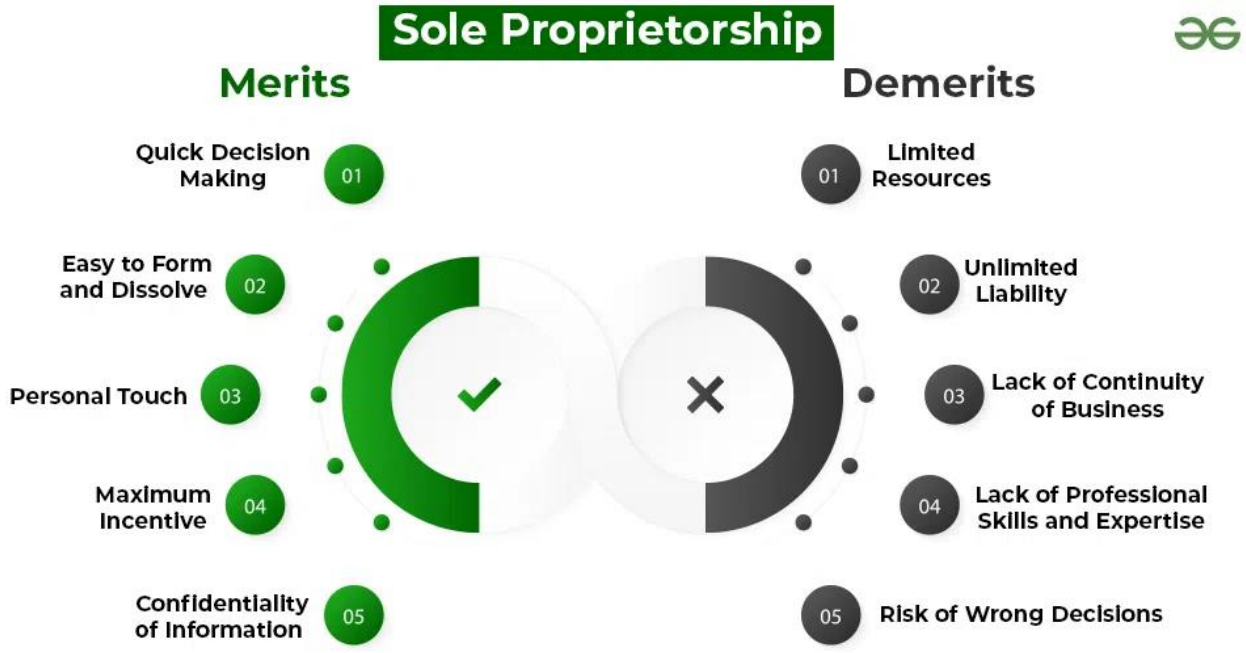
There are several benefits as well as limitations of running a sole proprietorship. We will discuss some of those points below:

Advantages –

- **Swift decisions** – A sole proprietor has complete responsibility in terms of making business decisions. It results in faster decision-making for the business as there is no need to consult multiple parties for every minor issue.
- **Confidentiality** – A sole proprietor can keep all business-related information to themselves as the business's only decision-maker. The law does not bind them to make the accounts of a sole proprietorship public.
- **Profit-sharing** – A sole proprietor has complete ownership of profits arising from business operations. They are not obligated to share profits with anyone else.
- **Fulfilment** – Since a sole proprietor is responsible for both risks and rewards of their business, even a minor success can give a greater feeling of pride and satisfaction than other business forms.

Disadvantages –

- **Lack of Resources** – It is challenging to raise vast amounts of capital in a sole proprietorship compared to a partnership or company. This form of business runs mainly on personal savings and borrowings made by its owner. Lack of adequate finances can become an obstacle in growing the business.
- **Dependence on owner** – The owner and their business are a singular entity in a sole proprietorship. In case of death, insolvency, imprisonment, etc., it can shut down if there is no successor or heir to continue the business.
- **Unlimited Liability** – If the proprietor cannot pay debts arising out of business from its assets, his/her personal property is also at stake. This results in sole traders taking zero or very minimal risks to ensure the survival of the business.
- **Management** – The proprietor has to perform most or all the activities related to the business-like purchase, client relationships, sales, marketing, accounting, etc.



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LECTURE- 23

FEATURES AND EVALUATION OF PARTNERSHIP

There are certain limitations to the sole proprietorship type of ownership, including limited resources, limited skill, and unlimited liability.
Meaning of Partnership: -

In India, **"The Indian Partnership Act 1932"** regulates all aspects and activities of partnerships. This particular law indicates that a partnership is an association of two or more people or parties who have agreed to share the profits generated from the firm while managing it jointly or on behalf of other members.

Features of Partnership

The essential features and characteristics of a partnership are:

1. **Agreement**: The partnership arises out of an agreement between two or more persons.

2. **Profit sharing**: There should be an agreement among the partners to share the profits of the business.

3. **Lawful business**: The business to be carried on by a partnership must always be lawful.

4. **Membership**: There must be at least two persons to form a partnership. The maximum number is 20. But in case of banking business the maximum is 10 members.

5. **Unlimited liability**: The liability of every partner is unlimited, joint and several.

6. **Collective management**: The firm and the partners are one. When a contract is made in the name of the firm all the partners are responsible for it individually and collectively.

7. **Non-transferability of shares**: A partner cannot transfer his share of interest to others without the consent of the other partners.

EVALUATION OF PARTNERSHIP: -

Advantages of Partnership

The following are the advantages of partnership business:

1. **Easy to form**: A partnership firm can be formed without any legal formalities and expenses. Even if the fum is to be registered, the expenses are not much compared to company form of organization.

2. **Access to more capital**: A firm consists of more than one person. Therefore it can secure more capital from combined resources.

3. **Skill and talent**: Talented persons may be taken as partners. More skill and talent will be available..

4. **Division of labor**: Division of labor can be introduced which increases the efficiency in the management. One partner may take care of purchases, another sales, a third accounts and so on.

5. **Contact with customers**: All the partners in a firm may take part in the management of the business. So, they get in touch with the customers during the course of the business. It enables them to study the tastes and needs of the customers.

6. **Borrowing capacity**: The creditors will lend Loans not only on the basis of the firm's assets but also based on the personal properties of the partners. So the borrowing capacity of a firm is more.

7. **Incentive to work hard**: Every partner is liable for the debts of the firm. Also every partner has a share in the profits. This makes them to work hard for the success of the business.

8. **Expansion of business**: Due to the availability of sufficient finance and skill the business can be expanded very easily.

9. **Wise decisions**: In partnership, decisions are taken with the consultation of all the partners. So naturally the decisions are wiser and more beneficial.

10. **Co-operation between partners**: The partnership enables partners to provide mutual help to each other. Partners behave as members in a joint family.

11. **Flexibility**: Changes in the business can be adopted easily. There are no legal restrictions.

12. **Division of risks**: All losses and risks of the business are shared by all the partners. So risky ventures can also be taken up.

Disadvantages of Partnership

The following are the disadvantages of a partnership firm:

1. **Division of responsibility**: In a partnership the management is divided. As such responsibilities are also divided. Every partner might try to shift the burden on to the shoulders of others; finally none takes the responsibility properly.

2. **Delay in decisions**: Sometimes the partners may not agree with one another in taking decisions. As a result partners will not be in a position to take quick decisions.

3. **Lack of continuity**: A partnership gets dissolved on the death, insolvency, insanity or retirement of any partner. So, there is no guarantee for the continuity of the firm.

4. **No transferability of share**: In a firm the partner cannot transfer his share of interest to others without the consent of the other partners.

5. **Lack of secrecy**: It may not be possible to maintain secrecy in partnership because of the number of partners.

6. **Joint and several liability**: Every partner is jointly and separately liable for the firm's debts. In case of insolvency of partners, the solvent partners have to pay the debts of the insolvent partners also.

7. **Internal conflicts**: Differences and disputes among the partners are very common. These conflicts harm the firm as a whole.

8. **Misuse of assets**: The partners may use the assets of the firm for their personal purposes. Misuse of assets is harmful to business interests.

9. **Lack of public confidence**: A partnership firm is purely a private organization. It is not controlled or regulated by the Government. As such public may not have confidence in the firm.

Types of Partnerships:-

1. General Partnership

In a general partnership, all parties share legal and financial liability equally. The individuals are personally responsible for the debts the partnership takes on. Profits are also shared equally.

2. Limited Liability Partnership

Limited liability partnerships (LLPs) are a common structure for professionals, such as accountants, lawyers, and architects. This arrangement limits partners' personal liability so that, for example, if one partner is sued for malpractice, the assets of other partners are not at risk.

3. Limited Partnership

Limited partnerships are a hybrid of general partnerships and limited liability partnerships. At least one partner must be a general partner, with full personal liability for the partnership's debts. At least one other is a silent partner whose liability is limited to the amount invested. This silent partner generally does not participate in the management or day-to-day operation of the partnership.

Top examples of successful business partners: -

Red Bull & GoPro (2016)



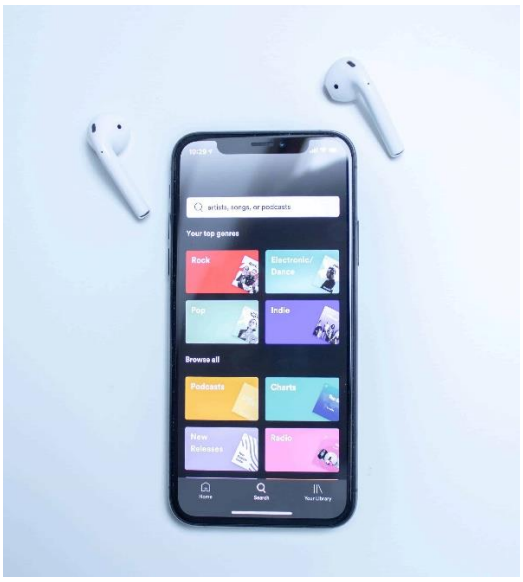
Red Bull is an Austrian energy drink company founded in 1987. The CEO and the co-founder of the company are Dietrich Mateschitz.

He has a marketing degree, and before Red Bull, he worked for Unilever, Belndax and P&G. During his travels for Blandax, he discovered Krating Daeng, the drink that a few years later became Red Bull.

Go Pro is a portable camera company that also develops mobile apps and video-editing software. Nick Woodman is the founder and CEO of GoPro who got the idea to invent the GoPro on a surf trip in Australia and Indonesia.

They are both (adventurous, fearless and extreme) “lifestyle” brands. These shared interests made them the perfect business partners.

Starbucks & Spotify:-



Starbucks is an American multinational chain of coffeehouses and roastery reserves founded in 1971. In the early 1980s, Howard Schultz converted it from a coffee bean store into a coffee shop selling espresso-based drinks.

Today, the CEO is Kevin Johnson, a software engineer who worked for IBM, Microsoft and Juniper Networks.

Spotify is a Swedish audio streaming and media services provider founded in 2006 by Daniel Ek and Martin Lorentzon. Daniel Ek, the CEO, was born an engineer but later he focused on IT.

Starbucks created a coffee shop experience with the help of music to create an ambience. They wanted to create a “music ecosystem” allowing artists to easily have access to Starbucks consumers, and vice versa, allowing Starbucks to have access to Spotify’s discography.

Apple & MasterCard:-



Apple is an American multinational technology company founded by Steve Jobs, Steve Wozniak and Ronald Wayne in 1976. Tim Cook has been the CEO of the company since 2011. Since then, he was able to double Apple's revenue and profits.

MasterCard is an American multinational financial services corporation. Michael Miebach is the CEO of the company and he is leading the company towards the digital.

When Apple launched the Apple Pay app, it completely revolutionised how people do transactions. In fact, Mastercard was the first company that allowed its customers to store their credit cards on Apple Pay.

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LECTURE- 24

FEATURES AND EVALUATION OF JOINT STOCK COMPANY

Joint Stock Company:-

The simplest way to describe a joint stock company is that it is a business organisation that is owned jointly by all its shareholders. All the shareholders own a certain amount of stock in the company, which is represented by their shares.

Example of Joint Stock Company

Few examples are mentioned below.

- Indian Oil Corporation Ltd.
- Tata Motors Ltd.
- Reliance Industries Ltd.

Features of Joint Stock Company:-

1. **Separate Legal Entity –** A joint stock company is an individual legal entity, apart from the persons involved. It can own assets and can because it is an entity it can sue or can be sued. Whereas a partnership or a sole proprietor, it has no such legal existence apart from the person involved in it.
2. **Number of Members –** For a public limited company, there can be an unlimited number of members but minimum being seven. For a private limited company, only two members. In general, a partnership firm cannot have more than 10 members in one business.
3. **Limited Liability –** In this type of company, the liability of the company's shareholders is limited. However, no member can liquidate the personal assets to pay the debts of a firm.

4. **Transferable share –** A company's shareholder without consulting can transfer his shares to others. Whereas, in a partnership firm without any approval of other partners, a partner cannot move his share.
5. **Incorporation –** For a firm to be accepted as an individual legal entity, it has to be incorporated. So, it is compulsory to register a firm under a joint stock company.

Merits of Joint Stock Company:-

The important advantages of a joint stock company are as follows:

1. Limited Liability: The liability of the members of a company is limited to the extent of the share contributed by them in the company. If a company faces a loss, the shareholders of the company do not have to sell off their personal property for repayment. This advantage of a joint stock company attracts people to invest money in the Company Form of Business.

2. Transfer of Interest: As the shares of a company are transferrable and can be easily bought and sold in the market, it brings liquidity of investment in the company. The shareholders can anytime convert their share investment into cash and can use that amount to buy the shares of another company.

4. Growth and Expansion: A company has more scope for expansion and growth because it has large financial resources and high profit rates. It means that if a company has retained profits, it can easily use that amount for its growth and expansion.

5. Efficient Management: Every business requires specialised people and experts for better performance and results. As a company has huge funds at its disposal, it can easily hire experts to perform various business activities, and can efficiently improve its working and performance.

6. Large Amount of Capital: As a company can issue shares to the general public, it grabs the biggest advantage of large capital.

Demerits of Joint Stock Company: -

The major limitations of a joint stock company are as follows:

1. Complexity in Formation: The process of the formation of a company is quite complicated and lengthy. It requires the completion of various formalities, and various different documents have to be prepared and submitted. It also requires obtaining different kinds of permissions. For all these activities, a company has to hire experts who charge high fees for the same. Besides, registration fees have to be paid to the registrar of companies.

2. Lack of Secrecy: According to the Companies Act, 1956 every company has to share various information about it with the registrar of companies, which is made available to the general public also. This compulsion of sharing information makes it difficult for the company to maintain secrecy about its operations.

3. Impersonal Work Environment: As a company is managed by hired professionals and experts, instead of its owners, and the professionals get a salary in return, there is no direct relationship between the efforts and reward of the business activities.

4. Delay in Decisions: The important decisions in a company are taken after consulting with different people or discussing in the board meeting, which is a lengthy process.

5. Conflicts in Interests: Various groups of people such as debenture holders, shareholders, directors, employees, managers, etc., are involved in the operations of a company, and every group has its own interest. It is not possible that every group's interest aligns with a decision, which can result in conflicts in interests between different groups.

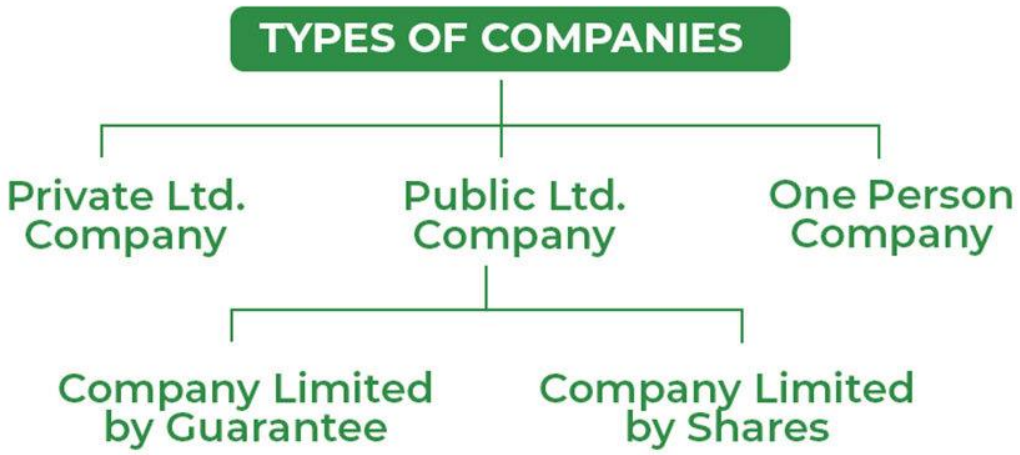
Types of Joint Stock Company

The joint stock company is divided into three different types.

- **Chartered Company –** A firm incorporated by the king or the head of the state is known as a chartered company.
- **Statutory Company –** A company which is formed by a particular act of parliament is known as a statutory company. Here, all the power, object, right, and responsibility are all defined by the act.
- **Registered Company –** An organisation that is formed by registering under the law of the company comes under a registered company.

Types of Companies:-

Based on ownership, there are three categories of companies; viz., **Private Ltd. Company, Public Ltd. Company,** and **One Person Company.**



1. Private Ltd. Company

According to Section 2(68) of the Indian Companies Act, 2013, a Private Company by its article is a company which:

1. Restricts the rights to transfer its shares.
2. Has a minimum 2 and a maximum of 200 members, excluding the present and past employees.
3. Prohibits any invitation to the public to subscribe for a company's securities.

Examples of Private Limited Companies

The companies that run Flipkart, Ola, Snapdeal, Carat Lane, and Zoom Car are all private entities.

2. Public Ltd. Company

A company which is not a private company is a Public Ltd. Company; however, a private company which is a subsidiary of a public company is treated as a public company. According to the Companies Act, a public company is a company which :

1. Has minimum 7 members and no limit on the maximum number of members.

2. Has no restriction on the transfer of securities.
3. Is not prohibited to invite the general public to subscribe to its securities.

TOP 10 PUBLIC LIMITED COMPANIES IN INDIA

Check out the list of Top 10 Public Limited Companies in India-

1. **Bharat Heavy Electricals Ltd. (BHEL)**
2. **Bharat Petroleum Corporation Ltd (BPCL)**
3. **Coal India Ltd.**
4. **Hindustan Corporation Petroleum Ltd.**
5. **Indian Oil Corporation Ltd.**
6. **NTPC Ltd.**
7. **Oil and Natural gas Corporation Ltd. (ONGC)**
8. **Punjab National Bank**
9. **State Bank of India**
10. **Steel Authority of India Ltd.**

A. Company Limited by Guarantee

A company with no shareholders, which is owned by the members, also known as **guarantors** is known as a Company Limited by Guarantee or a Guarantee Company. The guarantors agree to pay a nominal amount to the company if it gets wound up. This form of business is usually used for non-profit organisations.

B. Company Limited by Shares

A company with members whose liability is limited to the amount unpaid (if any) on the shares held by them is known as a Company Limited by Shares.

3. One Person Company

According to the Companies Act, 2013, apart from a public or private limited company, one can also form a new type of entity, **One Person Company (OPC)**. As per section 3(1) of the Companies Act 2013, a One Person Company is a company which has only one person as its member. Rule 3(1) states that only a natural person who is also an Indian citizen and resident is eligible to incorporate One Person Company.

Famous One Person Company in India

One person company has been preferred over another form of investment incorporations by a lot of budding freelancers and entrepreneurs primarily because of minimal legal compliances and maximum taxation benefits a few examples being

- BHAIRAV BUILDERS PRIVATE LIMITED (OPC) is a Private (One Person Company) in Delhi and been in existence for more than 20 years. it deals in buying, selling, renting and operating of self-owned or leased real estate
- DIGITEX FABRICS OPC PRIVATE LIMITED is a Private (One Person Company) incorporated on 05 May 2015. It is involved in Spinning, weaving and finishing of textiles.

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LECTURE- 25

STATE/ PUBLIC ENTERPRISES FORMS

STATE OWNED ENTERPRISE

A state-owned enterprise or government-owned enterprise is a business enterprise where the government or state has significant control through full, majority, or significant minority ownership. Defining characteristics of SOEs are their distinct legal form and operation in commercial affairs and activities.

FORMS OF STATE/PUBLIC ENTERPRISES: -

Following forms of organization are generally used for state enterprises.

A. Departmental Management:

Departmental form of organization of managing state enterprises is the oldest form of organization. In this form, the enterprise works as a part of government department. The finances are provided by the government and management is in the hands of civil servants. The Minister of the department is the ultimate in-charge of the enterprise.

Characteristics:

(i) The undertakings are wholly dependent on government for finances. State treasury provides finances and surplus money (profits) is deposited in treasury.

(ii) The management is in the hands of the government. The enterprise is managed and controlled by the civil servants of the department.

(iii) The budget of the department is passed by the Parliament and/or by the state legislature.

(iv) The accounting and audit control applicable to other government departments are applicable to state enterprises also.

(v) The department enjoys legal immunity. Governmental sanction is necessary for using the undertakings.

B. Public Corporations:

Public Corporations are created by a special stature of a state or central government. A legislative act is passed by defining the sphere of work and mode of management of the undertakings. A public corporation is a separate legal entity created for a specific purpose.

In India, the Reserve Bank of India, Damodar Valley Corporation, State Trading Corporation, Industrial Development Bank of India, Industrial Finance Corporation are some of the corporations created by special acts of Parliament.

According to President Roosevelt, "A public corporation is clothed with the powers of the government but possessed of the flexibility and initiative of private enterprise." "Public Corporation is a continuation of public ownership, public accountability and business management for public ends."

Characteristics:

- Separate Legal Entity:
- Government Investment:
- Financial Autonomy:
- Government Appointed Management:
- Service Motive:
- Independent Recruitment of Employees:

C. Government Company Organisation:

A company owned by central and/or state government is called a government company. Either whole of the capital or majority of the shares are owned by the government. In some cases, private investment is also encouraged but at least 51% shares are held by the government. Management of these companies is under the control of the government. Subsidiary companies of government companies are also covered under government companies.

References:-

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LECTURE- 26

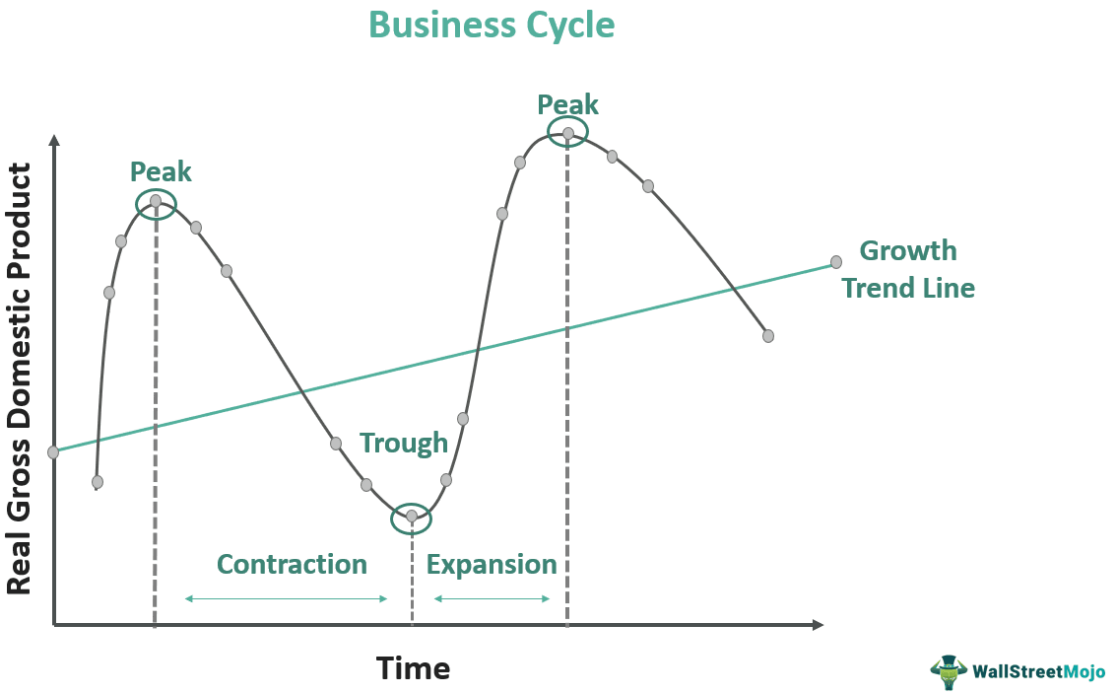
BUSINESS CYCLE -MEANING, FEATURES, PHASES

What is the Business Cycle?

The Business Cycle refers to the vast Economic fluctuations in trade, production, and general Economic activities. The Business Cycle is also known as the boom-bust Cycle or Economic Cycle. If we look at it conceptually then, the Business Cycle refers to the up and down movements of the GDP and refers to widespread expansions and contractions in the level of Economic booming and activities.

What are the Phases of a Business Cycle?

As mentioned earlier, there are four different phases of the Business Cycle; all these phases have different features of the Business Cycle.



1. **Expansion:** Expansion is characterized by employment increase, Economic growth, and rise in prices.

2. **Peak:** Peak is considered to be the highest point in the Business Cycle. A Business Cycle is said to have reached a peak when there is maximum output, employment is full or near to full employment, and inflationary prices are somewhat evident.
3. **Contraction:** Once the peak is reached, the Economy usually enters into the contraction phase. In this phase, the growth slows down and unemployment increases.
4. **Trough:** The contraction then hits the trough point, and it is at this time that the Economy has its bottom. Once again, the Economy will hit bottom, and the next phase of expansion and contraction will start.

What are the Features of a Business Cycle?

There are several features of a Business Cycle. Let us take a look at five features of a Business Cycle.

1. **Occurs Periodically:** The different phases of a Business Cycle occur from time to time. Although, at certain times, these periods will vary according to the Economic conditions of the industry.
2. **Synchronous:** Another advantageous and prominent feature of the Business Cycle is that it is synchronic. The features of a Business Cycle are not restricted to a single firm or industry. They originate in a free Economy and are prevalent.
3. **Major Sectors are Affected:** It's been noticed that fluctuations occur not only at the level of production but also in other variables such as employment, consumption, investment, rate of interest, and price level.
4. **Profit Variation:** Another significant feature of the Business Cycle is that the profits fluctuate more than any other income source.
5. **Worldwide Impact:** Business Cycles are international in nature.

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LECTURE- 27

Financial statement analysis/ Preparation of Final Accounts

-Balance sheet and related concepts

(Trading Account - Profit and Loss Account)

What Is Financial Statement Analysis?

Financial statement analysis is the process of analyzing a company's financial statements for decision-making purposes. External stakeholders use it to understand the overall health of an organization and to evaluate financial performance and business value. Internal constituents use it as a monitoring tool for managing the finances.

Importance or Uses of Financial Statement Analysis

Now that we know what is the meaning of financial statement analysis and its types, let's understand its importance as well.

There are various uses of financial statement analysis for different users like investors, creditors, management, government, and so on, mentioned as below:

Users	Areas of Interest
For Management	To know the company's profitability, liquidity, and solvency. To measure the effectiveness of the decisions taken and to take corrective actions ahead.
For Investors	To know the business' earning capacity and its future growth prospects and evaluate the safety of their investment and a reliable return.
For Creditors	To know the liquidity and solvency position of the business.
For Government	To know the profitability position required for taxation purposes and to take decisions about price regulations.

For Customers	To know about the longevity of the business.
For Employees	To know about the progress of the company for evaluating bonus, increase in wages, job stability, etc.

Preparation of Final accounts or financial statements: -

Preparation of Final accounts or financial statements of non-manufacturing entities or sole proprietor is mainly divided into following two parts:-

(1)Income Statement (Trading and profit and loss A/c)

(2)Position Statement (Balance sheet)

Trading and profit and loss account are prepared to find out the profit or loss of a certain period. They are also called as Income Statement. The Balance sheet portrays the financial position of the firm on a particular date. It is also called as Position Statement.

These two statements i.e. Trading and P&L account and Balance sheet are prepared to give the final results of the business that is why both are collectively called as Final Accounts. Final Accounts are prepared from the figures appearing in Trial Balance and additional information.

(1)Income Statement

The manner in which amount of profit or loss is arrived at is disclosed in the Income Statement, prepared at the close of the year. The Income Statement discloses net profit of the business after adjusting from the income earned during the year, all the expenditures of the business incurred in that year. The various items of income and expenditure, which arouse during the accounting period, are detailed out therein, and grouped under significant Heads. The primary objective of the Income Statement is to present the details of various items of income or expenditure which have contributed to the making of the profit or loss.

Income Statement is sub-divided into following two parts for a non-manufacturing concern or sole proprietor:

1. Trading account;

Trading Account Items

(i) In a trading firm whose main business is of buying and selling, direct expenses will include all those expenses which are incurred for bringing the goods to the godown of the firm and for making them ready for sale e.g. freight and cartage paid on purchases, octroi, custom duty etc.

2. Profit and Loss account

Profit and Loss a/c is an account which is prepared to find out the Net Profit Net loss of the business for a given accounting period. It is started with the balance from the Trading Account i.e. Gross Profit or Gross Loss.

Structure of Profit and Loss Statement

The structure of profit and loss statement is divide into 2 broad categories, one is the debit side and other is credit side as shown below:

Format of Profit and Loss Account

ABC Company
Profit and Loss Account
For the Year Ended 31st Dec.

	$		$
Gross Loss (Transferred from Trading A/c)	xxxx	Gross Profit (Transferred from Trading A/c)	xxxx
Office and Administration Expenses		Commission Received	xxxx
Salaries	xxxx	Rent Received	xxxx
Rent, Rates, and Taxes	xxxx	Interest Received	xxxx
Postage and Telegram	xxxx	Discount Received	xxxx
Telephone Charges	xxxx	Discount from Creditors	xxxx
Printing and Stationery	xxxx	Discount on Purchases	xxxx
Office Electricity	xxxx	Dividend Received	xxxx
Insurance	xxxx	Interest on Drawings	xxxx
Legal Charges	xxxx	Reserve for Discount on Creditors	xxxx
Marketing and Selling Expenses		Interest on Renewal of Bills	xxxx
Carriage outwards	xxxx	Bad Debts Recovered	xxxx
Freight Outwards	xxxx	Provision for Bad Debts (Cr.)	xxxx
Sales Salaries	xxxx	Royalty Received	xxxx
Advertisement	xxxx	Apprentice Premium	xxxx
Godown Rent	xxxx	Miscellaneous Income	xxxx
Commissions	xxxx	Sundry Income	xxxx
Discount Allowed	xxxx		
Bad Debts	xxxx		
Financial and Other Expenses			
Bank Charges	xxxx		
Interest	xxxx		
Depreciation	xxxx		
Repairs and Maintenance	xxxx		
Audit Fees	xxxx		
Loss by Theft, Accident, and Fire	xxxx		
Miscellaneous and Sundry Expenses	xxxx		
Net Profit Transferred to Capital	xxxx	Net Loss (Transferred to Capital)	xxxx

The left side is called as “Dr” that represents all direct and indirect expenses and the right side is called as “Cr” side that shows direct and indirect incomes from business operations.

Q. 1. from the following information, prepare a Trading Account/ Profit & loss Account of M/s. ABC Traders for the Year ended 31st March, 2009:

Opening Stock	Rs. 1,00,000
Purchases	6,72,000
Carriage Inwards	30,000
Wages	50,000
Sales	11,00,000
Returns inward	1,00,000
Returns outward	72,000
Closing stock	2,00,000

(Gross profit- 4,20,000)

Ans:-

Expenses(Dr.) **Income(Cr.)**

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Opening Stock	1,00,000	Sales 11,00,000 Returns inward- **Less** 1,00,000	10,00,000
Purchases 6,72,000 Returns outward -**Less** 72,000	6,00,000		
Carriage Inwards	30,000	Closing stock	2,00,000
Wages	50,000		
Total	**7,80,000**		**12,00,000**

Gross Profit b/f	**4,20,000**		

(2) Position Statement

Position statement mainly comprises of Balance Sheet, which exhibits assets and liabilities of the business as at the close of the period. For proper knowledge of the financial position of the business, sometimes additional statements are also prepared like cash flow statement, Fund

Flow statement etc. which is not mandatory for non-corporate entities. These additional statements are prepared for the better understanding of the financial position of the business

BALANCE SHEET

What is a Balance Sheet?

The Balance Sheet is a statement that shows the financial position of the business. It records the assets and liabilities of the business at the end of the accounting period after the preparation of trading and profit and loss accounts.

Importance of Balance Sheet:

Balance sheet analysis can say many things about a company's achievement. Few essential factors of the balance sheet are listed below:

- Creditors, investors, and other stakeholders use this financial tool to know the financial status of a business.
- It is used to analyse a company's growth by comparing different years.
- While applying for a business loan, a company has to submit a balance sheet to the bank.
- Stakeholders can find out the business accomplishment and liquidity position of a company.

- Company's balance sheet analysis can detect business expansion and future expenses.

Balance Sheet

Balance Sheet of...
(as at ..)

Liabilities			Amount (₹)	Assets	Amount (₹)
Capital		XXX		Goodwill	XXX
Add: Net Profit	xxx			Patents and Trade Marks, etc.	XXX
Interest on Capital	xxx	XXX		Business Premises	XXX
Less: Drawings	xxx			Freehold/Leasehold Land	XXX
Income Tax	xxx			Land and Building	XXX
Interest on Drawings	xxx			Plant and Machinery	XXX
Net Loss	xxx	(XXX)	XXX	Furniture and Fixtures	XXX
Reserves and Surplus			XXX	Investments	XXX
Mortgage			XXX	Loose Tools	XXX
Loan (Credit)			XXX	Closing Stocks	XXX
Employment Provident Fund			XXX	Loan (Debit)	XXX
Bank Overdraft			XXX	Sundry Debtors	XXX
Bills Payable			XXX	Bills Receivable	XXX
Sundry or Trade Creditors			XXX	Cash at Bank	XXX
				Cash in Hand	XXX
Total			**XXXX**	**Total**	**XXXX**

Example:

From the following particulars, prepare a balance sheet of Mr. Somesh as at 31st March 2021:

Capital ₹5,50,000
Drawings ₹10,000
Sundry Debtors ₹1,00,000
Sundry Creditors ₹80,000
Loan From Bank₹20,000
Net profit ₹1,60,000
Closing Stock ₹50,000
Plant and Machinery ₹1,50,000
Building ₹1,20,000
Land ₹ 3,00,000
Goodwill ₹ 50,000
Furniture and Fixtures ₹30,000

Solution-

Bhardwaj ACCOUNTING ACADEMY
27 YEARS IN COMMERCE EDUCATION

Balance Sheet of **Mr. Somesh**

as at 31st March,2021

Liabilities		₹	Assets	₹
			Fixed /Non Current Assets:	
Capital	5,50,000		Goodwill	50,000
Add: Net Profit	1,60,000		Building	1,20,000
	7,10,000		Land	3,00,000
Less: Drawings	10,000	7,00,000	Plant & Machinery	1,50,000
Long-term Liabilities:			Furniture & Fixtures	30,000
Loan from bank		20,000		
Current liabilities:			**Current Assets:**	
Sundry Creditors		80,000	Closing stock	50,000
			Sundry Debtors	1,00,000
		8,00,000		8,00,000

Note: -A **Drawing** in accounting terms includes any money that is taken from the business account for personal use.

Sundry creditors -- विविध लेनदार

Sundry Debtors -- विविध देनदार

1. Closing stock

i. Meaning –

a) Stock at the end of current calendar year (31st Dec.) or Current financial Year (31 Mar.) is known as closing stock

b) Stock in additional information of trial balance is known as closing stock

c) Valuation of closing stock- stock will be valued on market price or cost price whichever less is

d) It is treated as current Assets.

ii. Adjustment entries

Closing stock a/c Dr.

To Trading account

(Being closing stock transferred)

iii. Presentation in final account

Trading / Profit & Loss A/c

Particulars	Amount	Particulars	Amount
		By closing Stock	

Balance sheet

Liabilities	Amount	Assets	Amount
		Current assets Closing Stock	

Introduction to Accounting and Financing Analysis

Financial Statement Analysis: Comparative Analysis-I

The basis for financial analysis, planning and decision making is financial statements which mainly consist of Balance Sheet and Profit and Loss Account. The profit & loss account shows the operating activities of the concern and the balance sheet depicts the balance value of the acquired assets and of liabilities at a particular point of time.

However, the above statements do not disclose all of the necessary and relevant information. For the purpose of obtaining the material and relevant information necessary for ascertaining the financial strengths and weaknesses of an enterprise, it is necessary to analyse the data depicted in the financial statement.

Techniques of Financial statement analysis:

The financial manager has certain analytical tools which help in financial analysis and planning. Following tools/techniques are given for financial statement analysis.

1. **Comparative Analysis / Comparative Financial Statement**
2. **Ratio Analysis**
3. **Fund Flow Analysis /Statement**
4. **Cash Flow Analysis /Statement**

We will first discuss the Comparative Analysis

COMPARATIVE FINANCIAL STATEMENT

For comparison of financial statement the data related to the previous year's must be given. While comparing financial statements the analyst must see that during different years the same accounting principles are followed. The difference in financial statement may be due to;-

a) Difference in management policies.
b) Difference in accountant's opinion.
c) Difference in experience, knowledge, judgment of accountant
d) Difference in nature & size of business.
e) Difference in accounting principles adopted

Generally there is great difference between the financial statements prepared by the different companies:-

A. COMPARATIVE FINANCIAL STATEMENT.-

The following Comparative financial statements can be prepared;

1) Comparative balance sheet

2) Comparative profit & loss account

Generally Comparative balance sheet & Comparative profit & loss account are most commonly used

1. **Comparative balance sheet;**

   According to foulke- comparative balance sheet analysis is the study of the trend of the same items ,groups of items ,and computed item in two or more balance sheets of the same business enterprise on different dates

2. **Comparative profit & loss account;**

   The profit and loss a/c of an organization reveals its profitability, earning capacity and managerial efficiency .study of profit and loss account for more than one year assists in estimating managerial efficiency

S.No	Name	Formulas
1.	Profit	Profit = Selling Price – Cost Price
2.	Loss	Loss = Cost Price – Selling Price
3.	Profit Percentage	Profit% = (Profit / Cost Price) x 100%
4.	Loss Percentage	Loss% = (Loss / Cost Price) x 100%
5.	Selling Price	Selling Price = [(100 + Profit%) / 100] x Cost Price
6.	Cost Price	Cost Price = [100 / (100 + Profit%)] x Selling Price

7.	Selling Price (after discount)	Selling Price = [(100 – Loss%) / 100] x Cost Price
8.	Cost Price (after discount)	Cost Price = [100 / (100 – Loss%)] x Selling Price
9.	Discount	Discount = Marked Price – Selling Price

Question 1

prepare Profit and Loss account from the following particulars for the year ended March 31, 2021:

Gross Profit ₹1,50,000
Indirect Income ₹50,000
Indirect Expenses ₹85,000
Net Profit: ₹1,15,000

Question 2

prepare Profit and Loss account from the following particulars for the year ended March 31, 2021:

Gross Profit ₹1,50,000
Operating Income ₹40,000
Non-Operating Income ₹10,000
Operating Expenses ₹85,000
Non-Operating Expenses ₹25,000
Net Profit: ₹90,000

Final Account

Trading Account

Particulars (Dr.)	Amount ($)	Particulars (Cr.)	Amount ($)
To Opening Stock	5000	By Sales	10000
To Purchases	4000	By Closing Stock	2000
To Direct Expenses	1000		
To Gross Profits c/d	2000		
Total	**12000**		**12000**

Statement of Profit & Loss

Particulars	Amount (Dr.)	Particulars	Amount (Cr.)
To Indirect Expenses	3500	By Gross Profit b/d	2000
To Net Profit	2500	By Other Income	4000
Total	**6000**		**6000**

Balance Sheet

Liabilities		Assets	
Particulars	Amount ($)	Particulars	Amount ($)
Capital	10000	Fixed Assets	17500
Reserve*	6500	Other Assets	5000
Loan	3500		
Other Liability	2500		
Total	**22500**		**22500**

References:-

- https://icaiknowledgegateway.org/littledms/folder1/chapter6preparationoffinalaccountsofsoleproprietors.pdf
- https://www.coursehero.com/file/111148286/AFMUnit3pdf/
- Brickley. Managerial Economics & Organizational Architecture. Tata McGraw-Hill.

LECTURE-28

Introduction to Double entry system

Introduction

Double-entry accounting refers to the method of bookkeeping which helps a company to maintain its account and keep it balanced which shows the true picture of the finances of the company.

To classify all the business accounting entries and transactions there are 7 main types of accounts, which are:

- Assets
- Liabilities
- Equity
- Gains
- Losses
- Expenses
- Revenues

The continuous process of tracking changes in various types of accounts while continued business operations are known as accounting and book-keeping.

Single Entry System Meaning

A single entry system refers to the form of bookkeeping where each company maintains its financial transactions in a single-entry log. The single-entry system does not involve any formal training and is usually based on new businesses because of its cost-effectiveness and simplicity.

Solved Example For You

Q: A fleet owner purchases delivery trucks on credit. The total credit purchase is of Rs. 50,00,000/-. All new trucks will be used in daily business operations and will not be sold for the next 10 years. The estimated life of trucks is 10 years. Explain in respect to the Double Entry System.

Ans: This is a credit purchase of trucks. For the transaction, there are two activities, one is credit purchase of the trucks and another is an addition in new inventory. Entries are in respective accounting ledgers.

As the business has accumulated the assets, a debit entry will be made in inventory with the amount equal to the cost of trucks i.e. Rs. 50,00,000/-. As these are credit purchases, an entry with an equal amount has to be made on the credit side in accounts payable.

We see that the debit entry increases the inventory asset balance and credit entry increases the accounts payable liability balance with the same amount.

Double entries can also affect the same class of accounts. If the fleet owner would have bought the trucks in cash, then a credit entry has to be made in cash account and a debit entry to the inventory account. Still, the result in balance will be the same.

What Is an Example of Double Entry?

An example of double-entry accounting would be if a business took out a $10,000 loan and the loan was recorded in both the debit account and the credit account. The cash (asset) account would be debited by $10,000 and the debt (liability) account is credited by $10,000. Under the double-entry system, both the debit and credit accounts will equal each other.

Features of Double Entry

- **Two Parties**: Two parties are involved, one is the receiver, and another is the giver. The receiving party is debited, and another party is credited. For example, A purchases goods from B, where A is a receiver party, and B is a giver party.

- **Equal Effect:** Each transaction should have an equal financial effect. The debit amount should be equal to the credit amount.
- **Separate Legal Entity**: This accounting system records the transaction separate from its owners.
- **Debit and Credit**: There are two aspects for recording any transaction, the Debit aspect, and the Credit aspect.

Principle of Double Entry

Double-entry is based on a simple principle, that for every **debit**, must have equal and opposite credit. There should be at least two accounts involved in any transaction.

Debit Side = Credit Side

The double-entry is based on the debit and credit accounts of the transaction. So, we need to understand what account kind of debits and what credits.

Example of Double Entry

Here are a few transactions for which Journal Entries are to be recorded. Record the entries in the Books of A Limited.

A Limited Purchases Goods worth $2,500 from B Limited on Credit.

Particulars	Debit	Credit
Purchase A/c	$2,500	
B Limited A/c		$2,500

A Limited makes a payment for the Goods next Month.

Particulars	Debit	Credit
B Limited A/c	$2,500	
Cash A/c		$2,500

A Limited Purchases Machinery worth $30,000 by paying cash:

Particulars	Debit	Credit
Machinery A/c	$30,000	
Cash A/c		$30,000

A Limited received Rent on Building $1,500:

Particulars	Debit	Credit
Cash A/c	$1,500	
Rent Received A/c		$1,500

Difference Between Double Entry and Single Entry

Basis	Double Entry System	Single Entry System
Meaning	It is the method of accounting where the dual aspect of the transaction is recorded	It is the method of accounting where only one side of transaction is recorded
Nature	It is a complex form of accounting.	It is a simple form of accounting.
Accuracy	It provides more accurate financial results	Since it record only one side of transaction hence less accuracy.
Scale of Business	Preferable for large scale business	Preferable for small scale business
Level of Completion	It is a complete form of accounting	It provides incomplete results
Detection of Errors	Errors can be detected easily	Difficult to detect errors as only one side of transaction is recorded
Cost	Higher cost as skilled staff is required to maintain the book of accounts	Less cost as it is a simple form of accounting

Advantages:-

- **Modern and Scientific**: Double entry is a scientific and systematic system of recording and maintaining books of accounts. There are the Rules and Principles which have to be followed rigorously.
- **Complete System of Accounting**: This form of accounting records both aspects of a transaction; hence, it is a complete form of accounting.
- **Fewer Errors**: There are fewer chances of errors as both the debit and credit sides of the transaction have to be equal.
- **Fraud Prevention**: This accounting system helps in the prevention and early detection of fraud.
- **Decision Making:** A complete set of books helps in decision making for management, investors, creditors, **and auditors**.

Disadvantages:-

- **Complex**: This is a more complex form of accounting. The person must know the **rules of accounting** to ensure the books are maintained correctly.
- **High Cost**: Since this **system of accounting** required skilled personnel hence the cost of hiring them would also be high.
- **Not suitable for Small Business**: Small businesses with fewer transactions would not find this **method of accounting** suitable for them.

References:-

- https://icaiknowledgegateway.org/littledms/folder1/chapter6preparationoffinalaccountsofsoleproprietors.pdf
- https://www.coursehero.com/file/111148286/AFMUnit3pdf/
- Brickley. Managerial Economics & Organizational Architecture. Tata McGraw-Hill.

LECTURE-29

RATIO ANALYSIS

What Is Ratio Analysis?

Ratio analysis is a quantitative method of gaining insight into a company's liquidity, operational efficiency, and profitability by studying its financial statements such as the balance sheet and income statement.

Importance, Significance, and Merits of Ratio Analysis

The main points of importance are as follows:

1. Test of solvency. Ratios can illuminate the solvency of a firm. For example, when the **ratio of current assets to current liabilities** is increasing, this indicates sufficient **working capital**. Thus, creditors can be paid easily.

2. Helpful in decision-making. The main aim of financial statements is to inform users about the financial position of the company, as well as to serve as a decision-making aid for managerial personnel.

3. Helpful in financial forecasting and planning. Ratios are critical in **financial planning** and forecasting. For example, if a firm's **current ratio** is 5:1, this means that **capital** is blocked up. As the ideal ratio is 2:1, we have 5:1, meaning that $3 is unnecessarily blocked.

4. Useful in discovering profitability. Ratios are also useful when comparing the **profitability** of different companies. Present and past ratios can be compared, for example, to discover trends in the historical and future performance of companies.

5. Liquidity position. With the use of ratio analysis, meaningful conclusions can be obtained about the sound **liquidity** position of the firm. A firm's liquidity position is sound if it can pay its debts when these are due for payments.

6. Useful for operating efficiency. From a management perspective, ratios enable managers to measure the efficiency of **assets**. When sales and their contribution to **net profit** increase every year, this is a test of higher efficiency.

7. Business trends. Ratio analysis can expose trends that managers may use to take corrective actions.

8. Helpful in cost control. Ratios are useful to measure performance and facilitate cost control.

9. Helpful in analyzing corporate financial health. Ratio analysis can provide information about **liquidity**, solvency, profitability, and capital gearing. Thus, they are valuable for learning about financial health.

Limitations of Ratio Analysis

Although ratios are useful tools, they should be used with the utmost care. This is because they can suffer from drawbacks and limitations, including:

1. Need for technical knowledge. Ratios are quantitative and not **qualitative** indicators. Thus, to use them, one needs some knowledge of quantitative analysis.

2. Lack of reliable data. When figures are incorrect (e.g., value of closing stock is overstated), ratios will give misleading results.

3. Different basis. Different methods are available for the **valuation** of closing stock: **LIFO** and **FIFO**. In both, profit will differ. Similarly, profit has different meanings.

For example, some companies may take profit before **tax** and **interest**, while others may take profit after tax and interest. Similarly, different methods of depreciation will show different amounts of profit.

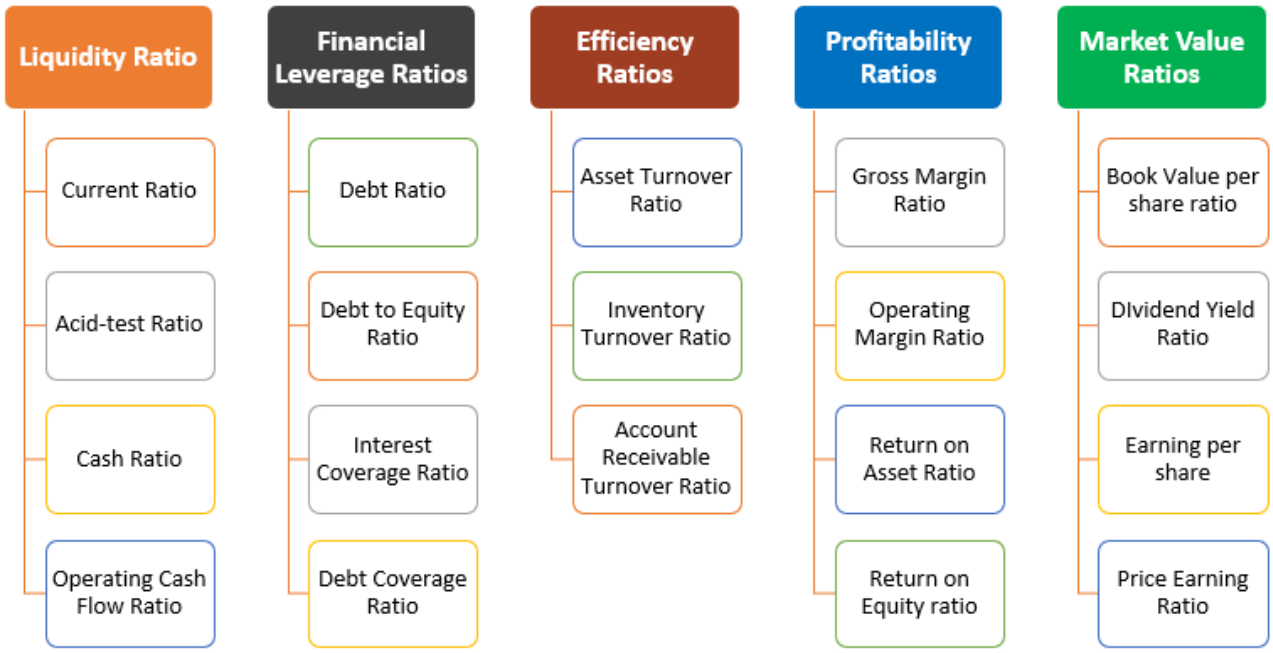
4. Different accounting policies. Different firms follow different policies with regard to **depreciation** (e.g., **fixed installments** or **diminishing balance method**, or stock valuation). Therefore, unless adjustments for profit are made, profit will not be comparable.

5. Effect of price level change. When ratios are calculated, no thought is given to inflationary measures that are responsible for changes in price. Thus, the utility of ratio analysis becomes questionable in these cases.

6. Bias. Ratios are only tools. They depend on the user for practical shape. For example, profit has different meanings, including **EBIT (earnings before interest and taxes)**. Thus, personal opinion differs from business to business.

7. Lack of comparison. Different firms adopt different procedures, records, objectives, and policies. Due to this, comparisons become complex.

8. Evaluation. There are different tools for ratio analysis. The question of which tool to use in a particular situation depends upon the skill, training, knowledge, and expertise of the analyst.



References:-

- https://icaiknowledgegateway.org/littledms/folder1/chapter6preparationoffinalaccountsofsoleproprietors.pdf

LECTURE 30

Liquidity Ratio (Current and Quick Ratio)

TYPES OF RATIOS: -

The ratios can be classified into following four broad categories:

1. Financial position Ratios
   A. Liquidity Ratios /short term financial position Ratios
   B. Capital Structure/Long term financial position Ratios

2. Activity Ratios/ Turnover Ratios
3. Profitability Ratios
4. Investors/Other Ratios

1. Financial position Ratios

A. Liquidity Ratios /short term financial position Ratios

a) **Current Ratios**: The Current Ratio is one of the best known measures of financial strength.

Current Ratio = Current Assets / Current Liabilities
Where,

Current Assets = Inventories + Sundry Debtors + Cash and Bank Balances + Receivables/ Accruals + Loans and Advances +Disposable Investments

Current Liabilities = Creditors for goods and services + Short-term Loans + Bank Overdraft + Cash Credit + Outstanding Expenses + Provision for Taxation + Proposed Dividend + Unclaimed Dividend

The main question this ratio addresses is: "Does your business have enough current assets to meet the payment schedule of its current debts with a margin of safety for possible losses in current assets?"

A generally acceptable current ratio is 2 to 1. But whether or not a specific ratio is satisfactory depends on the nature of the business and
the characteristics of its current assets and liabilities.

b) **Quick Ratios:** The Quick Ratio is sometimes called the "acid-test" ratio and is one ofthe best measures of liquidity.

Quick Ratio or Acid Test Ratio = Quick Assets/ Current Liabilities
Where,
Quick Assets = Current Assets Inventories & prepaid Expenses
Current Liabilities = As mentioned under Current Ratio.
The Quick Ratio is a much more conservative measure than the Current Ratio. It helps answer the question: "If all sales revenues should disappear, could my business meet its current obligations with the readily convertible `quick' funds on hand?"

Quick Assets consist of only cash and near cash assets. Inventories are deducted from current assets on the belief that these are not 'near cash assets'. But in a seller's market inventories are also near cash assets.
An acid-test of 1:1 is considered satisfactory unless the majority of "quick assets" are in accounts receivable, and the pattern of accounts receivable collection lags behind the schedule for paying current liabilities

Question

Calculate Current Ratio, Quick Ratio and Debt to Equity Ratio from the figures given below:

Particulars	₹
Inventory	30,000
Prepaid Expenses	2,000
Other Current Assets	50,000
Current Liabilities	40,000
12% Debentures	30,000
Accumulated Profits	10,000

Equity Share Capital	1,00,000
Non-current Investments	15,000

Solution

(i)

Current Assets = Inventory + Prepaid Expenses + Other Current Assets

= 30,000 + 2,000 + 50,000 = 82,000

Current Liabilities = 40,000

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}} = \frac{82,000}{40,000} = 2.05:1$$

(ii)

Liquid Assets = Current Assets − Inventory − Prepaid Expenses

= 82,000 – 30,000 – 2,000 = 50,000

$$\text{Quick Ratio} = \frac{\text{Liquid Assets}}{\text{Current Liabilities}} = \frac{50,000}{40,000} = 1.25:1$$

(iii)

Long-term Debts = 12% Debentures = 30,000

Equity = Accumulated Profits + Equity Share Capital

= 10,000 + 1,00,000 = 1,10,000

$$\text{Debt-Equity Ratio} = \frac{\text{Long-Term Debts}}{\text{Equity}} = \frac{30,000}{1,10,000} = 0.27:1$$

References:-

- https://icaiknowledgegateway.org/littledms/folder1/chapter6preparationoffinalaccountsofsoleproprietors.pdf
- https://www.coursehero.com/file/111148286/AFMUnit3pdf/
- Brickley. Managerial Economics & Organizational Architecture. Tata McGraw-Hill.

LECTURE 31

Working Capital Ratio, Earning Per share Ratio

What is working capital?

"Working capital" is the money you need to support short-term operations. It is this focus on the short term that distinguishes working capital from longer-term investments in fixed assets or R&D.

Working Capital Ratio = Current Assets ÷ Current Liabilities

Let us calculate working Capital for Colgate from the images above.

Here, Current Assets = Cash and Cash Equivalents + Accounts Receivables + Inventories + Other Current Assets

- Current Assets (2015) = $970 + $1,427 + $1,180 + $807 = $4,384

Current Liabilities = Notes and loans payable + Current portion of long term debt + Accounts Payable + Accrued Income Taxes + Other Accruals

- Current Liabilities (2015) = $4 + $298 + $1,110 + $277 + $1,845 = $3,534

Working Capital (2015) = Current Assets (2015) – Current Liabilities (2015)

- Working Capital (2015) = $4,384 – $3,534 = $850
- Working Capital Ratio (2015) = $4,384 / $3,534 = 1.24x

This ratio is also known as Current Ratio.

Earning Per share Ratio:-

What is Earnings Per Share (EPS)?

Earnings Per Share (EPS) is a financial metric calculated by dividing the Net income by the total number of outstanding common shares. Investors use EPS to assess a company's performance and profitability before investing. Higher EPS means the company is more profitable.

Earnings Per Share Formula

$$EPS = \frac{\text{Net Income of the Company}}{\text{Average Outstanding Shares of the Company}}$$

$$EPS = \frac{\text{Net Income of the Company - Dividend to Preferred Shareholders}}{\text{Average Outstanding Shares of the Company}}$$

Example #1

Hit Technology Inc. has the following information –

- **The net income for the year-end 2017 – $450,000**
- **The preferred dividends paid in 2017 – $30,000**
- **At the beginning of the year 2017, the common shares outstanding were 50,000 shares. In the middle of the year, Hit Technology Inc. issued another 40,000 common shares.**

Find out the earnings per share of Hit Technology Inc.

Solution:-

Here's the calculation –

- Weighted average number of common shares = (50,000 * 1) + (40,000 * 0.5) = 50,000 + 20,000 = 70,000 shares.

Now, we will find out the EPS formula –

- EPS formula = (Net Income – Preferred Dividends) / Weighted Average Number of Common Shares
- Or. EPS formula = ($450,000 – $30,000) / 70,000
- Or, EPS = $420,000 / 70,000 = $6 per share.

References:-

- https://icaiknowledgegateway.org/littledms/folder1/chapter6preparationoffinalaccountsofsoleproprietors.pdf
- https://www.coursehero.com/file/111148286/AFMUnit3pdf/.

MITRC

LECTURE 32

Debtors and Creditors Turnover Ratio:-

This ratio measures the efficiency with which Accounts Receivable are being managed, hence it is also known as 'Accounts Receivable Turnover ratio'. The ratio shows the equation between credit sales (cash sales are not taken into consideration) and the average debtors of a firm. The formula is as below:-

Example of Debtors Turnover Ratio

Let's consider that a company, ABC, has made net credit sales of Rs. 200,000 for a year with a sales return amount of Rs. 20,000. The accounts receivables amount is Rs. 25,000.

To find out net credit sales, follow this debtors turnover ratio formula:

Net Credit Sales = Sales (minus) Sales returns

So, Rs. 200,000 - INR 20,000 = INR 180,000

You already know that the average accounts receivable is Rs. 25000.

Considering the debtors turnover ratio formula, the turnover ratio is:

180,000/25,000 = 7.2

Hence, the debtors turnover ratio amount is 7.2.

Solved Examples for You

Q: Calculate Debtors Turnover Ratio and Average Collection Period (in days) from the following.

Total Sales – 6,00,000
Cash Sales – 20% of Total sales
Trades Receivable at beginning of the year- 80,000
Trades Receivable at the end of the year- 1,60,000

Solution: From the given information

Credit Sales = 80% of Total Sales = 80% of 6,00,000 = 4,80,000

Average Debtors = OpeningDebtors+ClosingDebtors2

= 80,000+1,60,0002 = 1,20,000

Debtors' Turnover ratio = Credit Sales/Average Debtors

= 480000/120000

= 4 times

Average Collection Period = Number of days/weeks/months

DebtorsT/ORatio

= 365/4

= 91.25 days = 92 days

Creditors Turnover Ratio:-

$$Creditors' \ turnover \ ratio = \frac{Credit \ Purchases}{Average \ Creditors}$$

$$\text{Average creditors} = \frac{opening \ creditors + closing \ creditors}{2}$$

High and Low Creditor's Turnover Ratio

A high ratio may indicate

• Low credit period available to the business or early payments made by the business.

• The company may operate majorly on the cash basis.

• The company is not availing full credit period.

A low ratio may indicate

• Creditors are not paid in time.

• Increased credit period is allowed to the business.

Example – Payables Turnover Ratio

Ques. Calculate creditor's turnover ratio from the information provided below;

Total Purchases – 5,00,000

Cash Purchases – 2,00,000

Creditors (Beginning of period) – 50,000 & Creditors (End of period) – 1,00,000

Ans.

Creditor's turnover ratio or Accounts payable turnover ratio = **(Net Credit Sales/Average Trade Receivables)**

Net Credit Purchases = Total Purchases – Cash Purchases

= 5,00,000 – 2,00,000

Net Credit Purchases = 3,00,000

Average Trade Payables = (Opening Trade Payables + Closing Trade Payables)/2

= (50,000 + 1,00,000)/2

= 75,000

Ratio = (3,00,000/75,000) => 4/1 or 4:1

References:-

- Brickley. Managerial Economics & Organizational Architecture. Tata McGraw-Hill.

LECTURE 33

Net and Gross Profit Ratio:

What is gross profit?

Gross profit is the profit a business makes after subtracting all the costs that are related to manufacturing and selling its products or services. You can calculate gross profit by deducting the cost of goods sold (COGS) from your total sales.

What is net profit?

Net profit is the amount of money your business earns after deducting all operating, interest, and tax expenses over a given period of time. To arrive at this value, you need to know a company's gross profit. If the value of net profit is negative, then it is called net loss.

How to calculate gross and net profit?

You can calculate both gross and net profit using your income statement. An income statement shows your company's total revenue and cost of goods sold, followed by the operating expenses, interest and taxes.

Question

From the following calculate
(a) Net Profit Ratio
(b) Operating Profit Ratio

S. No.	Items Amount	Rs.
1.	Revenue from Operations (Sales):-	2,00,000
2.	Gross Profit-	75,000
3.	Office Expenses-	15,000
4.	Selling Expenses-	26,000
5.	Interest on Debentures-	5,000

6.Accidental losses- 12,000

7.Income from Rent- 2,500

8.Commission received- 2,000

Solution

(a) Net Profit Ratio = Net Profit Revenue from Operations×100

Net Profit = Gross Profit - Indirect Expenses & Losses + Other Incomes

Indirect Expenses and Losses = Office Expenses + Selling Expenses + Interest on Debentures + Accidental Losses

= Rs. 15,000 + Rs. 26,000 + Rs. 5,000 + Rs. 12,000

= Rs. 58,000

Other Incomes = Income from Rent + Commission Received

= Rs. 2,500 + Rs. 2,000 = Rs. 4,500

Net Profit = Rs. 75,000 - Rs. 58,000 + Rs. 4,500 = Rs. 21,500

Revenue from Operations = Rs. 2,00,000

∴ **Net Profit Ratio =** Rs.21,5002,00,000×100=10.75

(b) Operating Profit Ratio = Operating Profit Revenue from Operations×100

Operating Profit = Gross Profit + Operating Income - Operating Expenses

Operating Income = Commission Received

= Rs. 2,000

Operating Expenses = Office Expenses + Selling Expenses

= Rs. 15,000 + Rs. 26,000 = Rs. 41,000

∴ **Operating Profit = Rs. 75,000 + Rs. 2,000 - Rs. 41,000 = Rs. 36,000**

Revenue from Operations = Rs. 2,00,000

∴ **Operating Profit Ratio =** Rs.36,0002,00,000×100=18%

Practical Problems with Answers:-

Balance Sheet Ratios:-

1. Current Ratio = Current Assets/Current Liabilities

2. Liquid Ratio = Quick (Liquid) Assets/Quick (Liquid) Liabilities

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- Liquid assets are those which are readily converted into cash and will include cash/ bank balances, bills receivable, sundry debtors and short term investments. Inventories and Prepaid Expenses are not included in liquid assets.
- Liquid Liabilities includes all items of current liabilities except Bank Overdraft.

3. Proprietary Ratio = Proprietors funds/Total Assets

- Proprietor fund = Share capital(Equity & Pref.) + Retained earnings (less loss ifany) -Fictitious assets
- Total Assets = Fixed Assets + Current Assets-Fictitious assets

Q. 1:

Liabilities	Rs.	Assets	Rs.
Equity Share Capital	5,00,000	Land & Building	1,00,000
Preference share capital	2,00,000	Machinery	4,00,000
General Reserve	1,00,000	Furniture	50,000
Secured Loan	3,00,000	Inventory	3,00,000
Sundry Creditors	1,00,000	Sundry Debtors Cash/Bank Balance	3,00,000 50,000
	12,00,000		12,00,000

Calculate Following Ratios from the above balance sheet:

1. **Current Ratio**

2. **Liquid Ratio**
3. **Proprietary Ratio**

Solution:

1. Current ratio	= Current assets/current liabilities Current assets = inventory (3,00,000)+ s.debtors(3,00,000) + cash balance(50,000) = 6,50,000 Current liabilities = S. Creditors = 1,00,000 = 6,50,000/1,00,000 = 6.5:1
2. Liquid ratio	= liquid assets/liquid liabilities liquid assets = s.debtors(3,00,000) + cash balance(50,000) = 3,50,000 liquid liabilities = S.Creditors = 1,00,000 = 3,50,000/1,00,000 = 3.5:1
3. Proprietary Ratio	Proprietors fund / total assets
	Proprietor fund = Share capital(Equity & Pref.) + Retained
	earnings (less loss if any) -Fictitious assets
	= 5,00,000 + 2,00,000 + 100,000 = 8,00,000
	Total Assets = Fixed Assets + Current Assets-Fictitious
	assets
	= 12,00,000

	= 800,000/12,00,000
	= 0.66 : 1

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